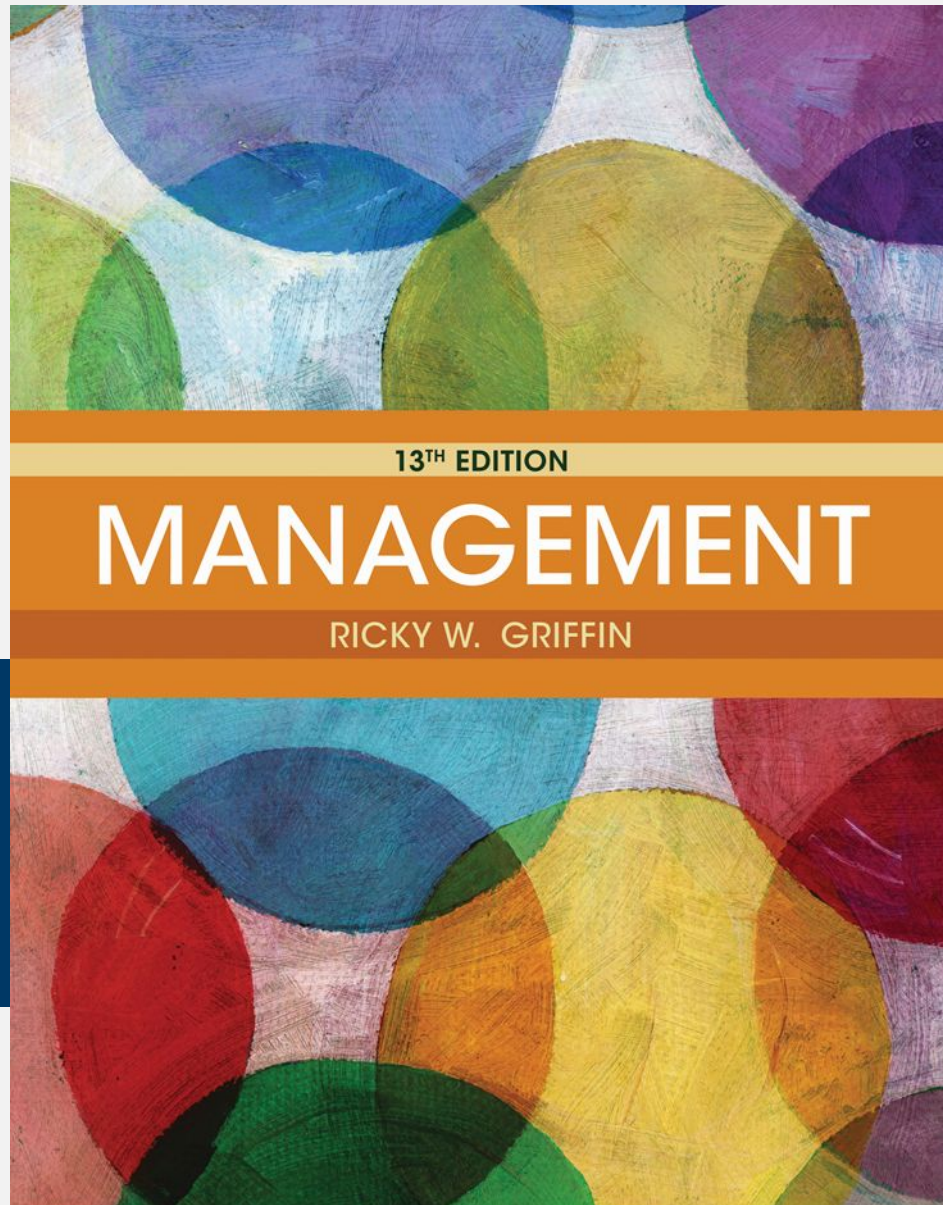




Management

Chapter Seven: Managing Strategy and Strategic Planning

Warm Up

How do you typically go about formulating a strategy for a large class project? What works for you, and what doesn't? If your professor suddenly changed the due date or announced an exam that affected your strategy, how would that strategy change?



Learning Objectives (1 of 2)

By the end of this chapter, you should be able to:

7-1: Discuss the components of strategy, types of strategic alternatives, and the distinction between strategy formulation and strategy implementation.

7-2: Describe how to use SWOT (strengths, weaknesses, opportunities, and threats) analysis in formulating strategy.

7-3: Discuss various alternative approaches to business-level strategy formulation.



Learning Objectives (2 of 2)

By the end of this chapter, you should be able to:

7-4: Describe how business-level strategies are implemented.

7-5: Discuss various alternative approaches to corporate-level strategy formulation.

7-6: Describe how corporate-level strategies are implemented.

7-7: Discuss international and global strategies.



7-1 The Nature of Strategic Management

- **Strategy:** A comprehensive plan for accomplishing an organization's goals
- **Strategic management:** A comprehensive and ongoing management process aimed at formulating and implementing effective strategies; a way of approaching business opportunities and challenges
- **Effective strategies:** A strategy that promotes a superior alignment between the organization and its environment and the achievement of strategic goals

7-1a The Components of Strategy

- **Distinctive competence:** An organizational strength possessed by only a small number of competing firms
- **Scope:** When applied to strategy, it specifies the range of markets in which an organization will compete
- **Resource deployment:** How an organization distributes its resources across the areas in which it competes

7-1b Levels of Strategy

- **Most businesses today develop strategies at two distinct levels:**
 1. **Business-level strategy:** The set of strategic alternatives from which an organization chooses as it conducts business in a particular industry or market
 2. **Corporate-level strategy:** The set of strategic alternatives from which an organization chooses as it manages its operations simultaneously across several industries and several markets

7-1c Strategy Formulation and Implementation (1 of 2)

- Drawing a distinction between strategy formulation and strategy implementation is also instructive.
- **Strategy formulation**
 - The set of processes involved in creating or determining an organization's strategies; it focuses on the content of strategies.
- **Strategy implementation**
 - The methods by which strategies are operationalized or executed within the origination; it focuses on the processes through which strategies are achieved.

7-1c Strategy Formulation and Implementation (2 of 2)

- **Deliberate strategy**
 - A plan of action that an organization chooses and implements to support specific goals
 - Rational, systematic, and planned
- **Emergent strategy**
 - A pattern of action that develops over time in an organization in the absence of mission and goals, or despite mission and goals
 - Allocating resources even though an organization has not explicitly chosen this strategy

Knowledge Check 1

When an organization sets strategy based on divisions, industries, or markets, which type of strategy is it pursuing?

- A. Business-level
- B. Corporate-level
- C. Emergent

QUESTION



Knowledge Check 1: Answer

When an organization sets strategy based on divisions, industries, or markets, which type of strategy is it pursuing?

A. Business-level

Business-level strategy is the set of strategic alternatives from which an organization chooses as it conducts business in a particular industry or market. Such alternatives help the organization focus its competitive efforts for each industry or market in a targeted and focused manner.

ANSWER



7-2 Using SWOT Analysis to Formulate Strategy

- **SWOT**
 - An acronym that stands for strengths, weaknesses, opportunities, and threats
- SWOT analysis is a careful evaluation of an organization's internal strengths and weaknesses as well as its environmental opportunities and threats.
- In SWOT analysis, the best strategies accomplish an organization's mission by (1) exploiting an organization's opportunities and strengths while (2) neutralizing its threats and (3) avoiding (or correcting) its weaknesses.

Figure 7.1 SWOT Analysis

SWOT analysis is a careful evaluation of an organization's internal strengths and weaknesses as well as its environmental opportunities and threats.

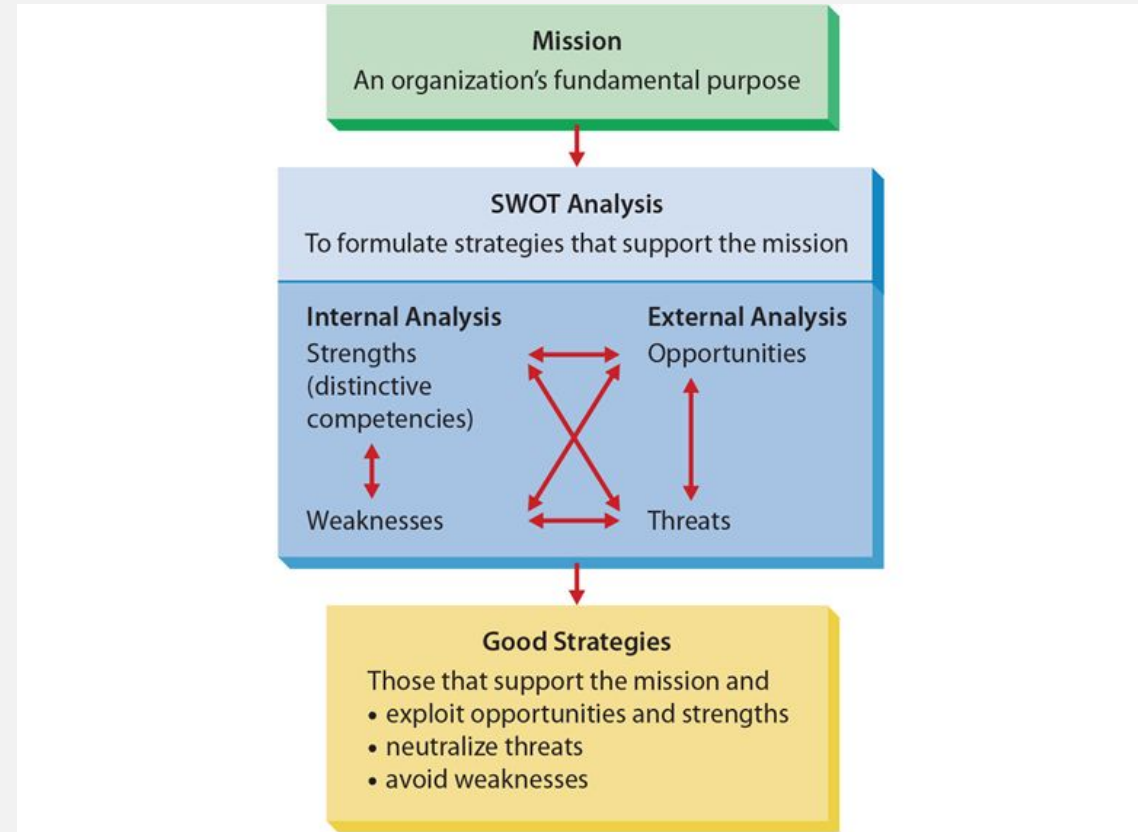


FIGURE 7.1

SWOT Analysis

SWOT analysis is one of the most important steps in formulating strategy. Using the organization's mission as a context, managers assess internal strengths (distinctive competencies) and weaknesses as well as external opportunities and threats. The goal is then to develop good strategies that exploit opportunities and strengths, neutralize threats, and avoid weaknesses.

7-2a Evaluating an Organization's Strengths (1 of 2)

- Evaluating an organization's strengths
- Organizational strengths:
 - Skills or capabilities enabling an organization to conceive of and implement its strategies
- SWOT analysis divides strengths into common strengths and distinctive competencies:
 - A **common strength** is a skill or capability held by numerous competing firms.
 - **Competitive parity** exists when large numbers of competing firms can implement the same strategy.

7-2a Evaluating an Organization's Strengths (2 of 2)

- Evaluating an organization's strengths
- **Distinctive competence:** Strength possessed by a small number of firms
 - Organizations that exploit these competencies often obtain a competitive advantage.
- **Strategic imitation:** Duplicating another's competence into a valuable strategy
- **Sustained competitive advantage:** Exists after all attempts at strategic imitation have ceased

7-2b Evaluating an Organization's Weaknesses

- **Organizational weaknesses:**

- A skill or capability that does not enable an organization to choose and implement strategies that support its mission
- Organizational members reluctant to focus on weaknesses
- Reluctant to admit they do not possess all the skills and capabilities needed

- **Two ways to address:** Invest to obtain strengths or modify mission

- **Competitive disadvantage:** Organization is not implementing valuable strategies that are being implemented by competing organizations

7-2c Evaluating an Organization's Opportunities and Threats

- **Organizational opportunity:** An area in the environment that, if exploited, may generate higher performance
- **Organizational threat:** An area that increases the difficulty of an organization performing at a high level

Group Activity #1

Develop a SWOT analysis for your university.

Strengths

Weaknesses

Opportunities

Threats



7-3a Porter's Generic Strategies

- According to Harvard's Michael Porter, organizations may pursue a differentiation, overall cost leadership, or focus strategy at the business level.
- **Differentiation strategy:** An organization seeks to distinguish itself from competitors through the quality of its products or services.
- **Overall cost leadership strategy:** An organization attempts to gain a competitive advantage by reducing its costs below the costs of competing firms.
- **Focus strategy:** An organization concentrates on a specific regional market, product line, or group of buyers.

7-3b The Miles and Snow Typology

- **Prospector strategy:** A strategy in which the firm encourages creativity and flexibility and is often decentralized
- **Defender strategy:** A strategy in which the firm focuses on lowering costs and improving the performance of current products
- **Analyzer strategy:** A strategy in which the firm tries to maintain its current businesses and to be somewhat innovative in new businesses
- **Reactor strategy:** A strategy in which a firm has no consistent approach to strategy

7-3c Strategies Based on the Product Life Cycle (1 of 2)

- **Introduction stage:** Demand may be very high and sometimes outpaces the firm's ability to supply the product
 - Demand is high, and managers focus on getting products “out the door” without sacrificing quality.
- **Growth stage:** More firms begin producing the product, and sales continue to grow.
 - Threat to competitive advantage, and strategies to slow the threat of new competitors are important

7-3c Strategies Based on the Product Life Cycle (2 of 2)

- **Maturity stage:** Overall demand growth for the product begins to slow down, and the number of new firms producing the product begins to decline.
 - Essential for long-term survival. Focus on product differentiation and search for new products
- **Decline stage:** Demand for the product or technology decreases, the number of organizations producing the product drops, and total sales drop.
 - Organizations can do well in this stage if costs are kept low.

Figure 7.2 The Product Life Cycle

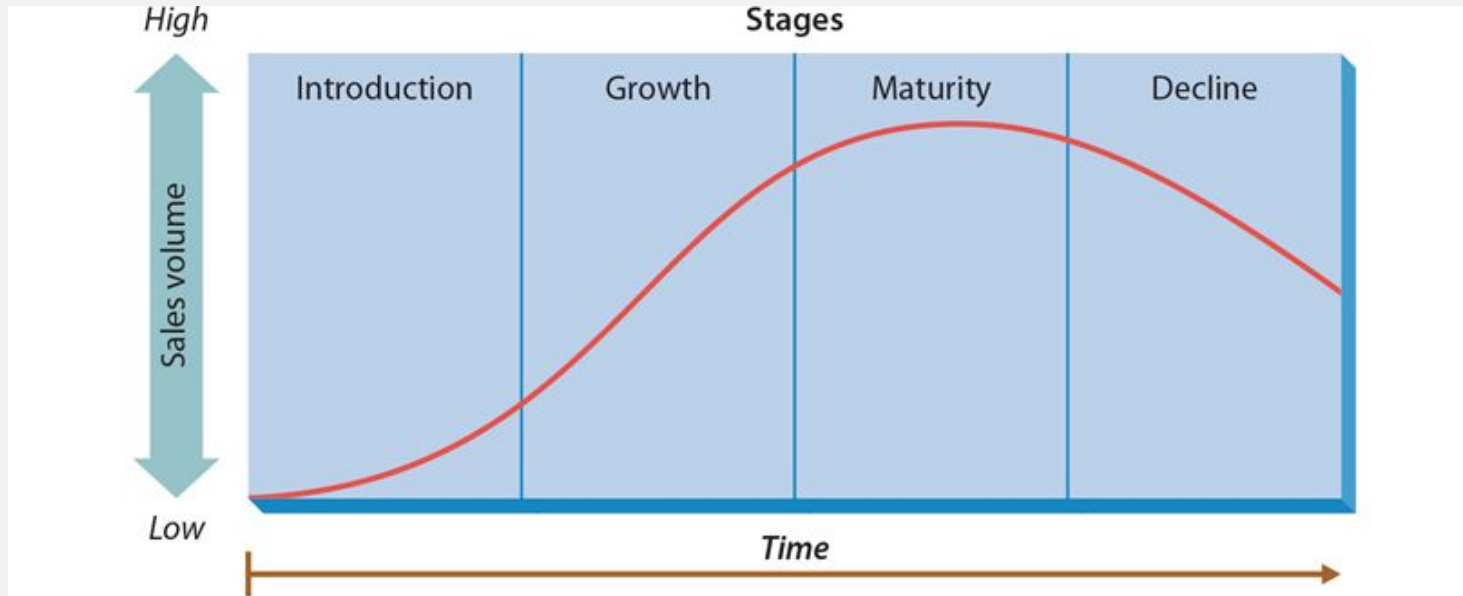


FIGURE 7.2

The Product Life Cycle

Managers can use the framework of the product life cycle—introduction, growth, maturity, and decline—to plot strategy. For example, management may decide on a differentiation strategy for a product in the introduction stage and a prospector approach for a product in the growth stage. By understanding this cycle and where a particular product falls within it, managers can develop more effective strategies for extending product life.

Discussion Question #1

Identify a product, or products, in each of the following phases of the product life cycle. Why would you put a certain product in a given category?

- Introduction
- Growth
- Maturity
- Decline



7-4a Implementing Porter's Generic Strategies

Differentiation strategy:

- Marketing and sales emphasizes high-quality, high-value image of products or services.
- Accounting controls the flow of funds without discouraging creativity.
- Manufacturing emphasizes quality and meeting customer needs.
- The culture must emphasize creativity, innovation, and response to customer needs.

7-4a Overall Cost Leadership Strategy

Implementing Porter's overall cost leadership strategy:

- Marketing focuses on product attributes meeting customer needs in a low-cost, effective manner.
- Accounting reduces costs through tight controls.
- Manufacturing reduces per-unit costs by increasing volume of production.
- Culture focuses on improving efficiencies.

7-4b Implementing Miles and Snow's Strategy

- Decentralization facilitates prospectors
- Encourages creativity and flexibility
- **Prospectors** often switch to defenders
- **Defenders** downplay creativity, focusing on costs and improving performance
- **Analyzers** maintain current business and must be somewhat innovative
- Tight financial controls and high flexibility, efficient production, and customized products

Discussion Question #2

Identify examples of companies that are currently using each of the following Miles and Snow's strategies.

- Prospector
- Defender
- Analyzer



7-5 Formulating Corporate-Level Strategies (1 of 2)

- Decisions about which businesses, industries, and markets an organization will enter, and how to manage these different businesses, are based on an organization's corporate strategy.
- The most important strategic issue at the corporate level concerns the extent and nature of organizational **diversification**.

7-5 Formulating Corporate-Level Strategies (2 of 2)

- **Diversification:** The number of different businesses that an organization is engaged in and the extent to which these businesses are related to one another
- There are three types of diversification strategies:
 - **Single-product strategy**
 - **Related diversification**
 - **Unrelated diversification**

7-5a Single-Product Strategy

- **Single-product strategy:** A strategy in which an organization manufactures just one product or service and sells it in a single geographic market
- **Strength:**
 - By concentrating its efforts so completely on one product and market, a firm is likely to be very successful in manufacturing and marketing that product.
- **Weakness:**
 - If the product is not accepted by the market or is replaced by a new one, the firm will suffer.

7-5b Related Diversification

Related diversification: A strategy in which an organization operates in several businesses that are linked with one another

- It reduces an organization's dependence on any one of its business activities and thus reduces economic risk.
- By managing several businesses at the same time, an organization can reduce the overhead costs associated with managing any one business.
- It allows for the exploitation of strengths and capabilities in more than one business.
- When organizations do this successfully, they capitalize on synergy.

7-5c Unrelated Diversification

–**Unrelated diversification:** A strategy in which an organization operates multiple businesses that are not logically associated with one another

Advantages:

- Achieve stable performance over time due to business cycle differences among the multiple businesses.
- Resources can be allocated to areas with the highest return potentials to maximize corporate performance.

Disadvantages:

- Lack of knowledge of the unrelated businesses
- Failure to exploit synergy, creating competitive disadvantage

Poll 1

Apple has a variety of products, which they sell around the world. Many of these products are sold in their own Apple stores, and others in a variety of retailers, including online. Which type of corporate-level strategy does Apple use when selling their products?

- A. Single-product strategy
- B. Related diversification
- C. Unrelated diversification



7-6a Becoming a Diversified Firm (1 of 2)

- Some firms diversify by developing new products and services.
- Firms can also diversify by replacing former suppliers and customers.
- **Backward vertical integration:**
 - An organization conducts activities formerly conducted by its suppliers.
- **Forward vertical integration:**
 - An organization begins activities formerly conducted by its customers.

7-6a Becoming a Diversified Firm (2 of 2)

- Used to acquire complementary products or services, linked by common technology and common customers
- Creation or exploitation of **synergies**
- **Merger:**
 - The purchase of one firm by another firm of approximately the same size
- **Acquisition:**
 - The purchase of a firm by a firm that is considerably larger
 - Acquired firm's "identity" often disappears altogether

Discussion Question #3

Can an organization have too much diversification? Are there disadvantages to diversification?



7-6b Managing Diversification

- **Portfolio management techniques:** Methods that diversified organizations use to determine which businesses to engage in and how to manage these businesses to maximize corporate performance
 - Two important portfolio management techniques:
 - **BCG matrix**
 - **GE Business Screen**

7-6b BCG Matrix

- **BCG matrix:** A framework for evaluating businesses relative to the growth rate of their market and the organization's share of the market
 - **Dogs:** Businesses that have a very small share of a market that is not expected to grow
 - **Cash cows:** Businesses that have a large share of a market that is not expected to grow substantially
 - **Question marks:** Businesses that have only a small share of a fast-growing market
 - **Stars:** Businesses that have the largest share of a rapidly growing market

Figure 7.3 The BCG Matrix

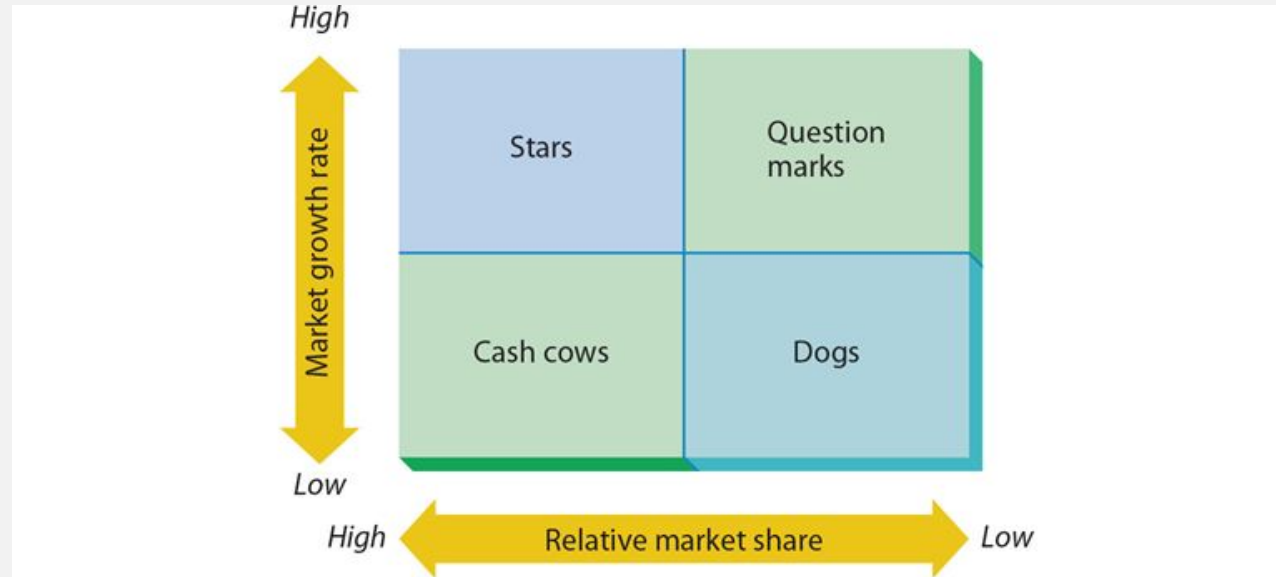


FIGURE 7.3

The BCG Matrix

The BCG matrix helps managers develop a better understanding of how different strategic business units contribute to the organization. By assessing each SBU on the basis of its market growth rate and relative market share, managers can make decisions about whether to commit further financial resources to the SBU or to sell or liquidate it.

Source: Adapted from the BCG Portfolio Matrix from the "Product Portfolio Matrix," 1970, The Boston Consulting Group.

7-6b GE Business Screen

- **GE Business Screen:** A method of evaluating businesses along two dimensions
 1. Industry attractiveness
 2. Competitive position
- In general, the more attractive the industry and the more competitive the position, the more an organization should invest in a business

Figure 7.4 The GE Business Screen

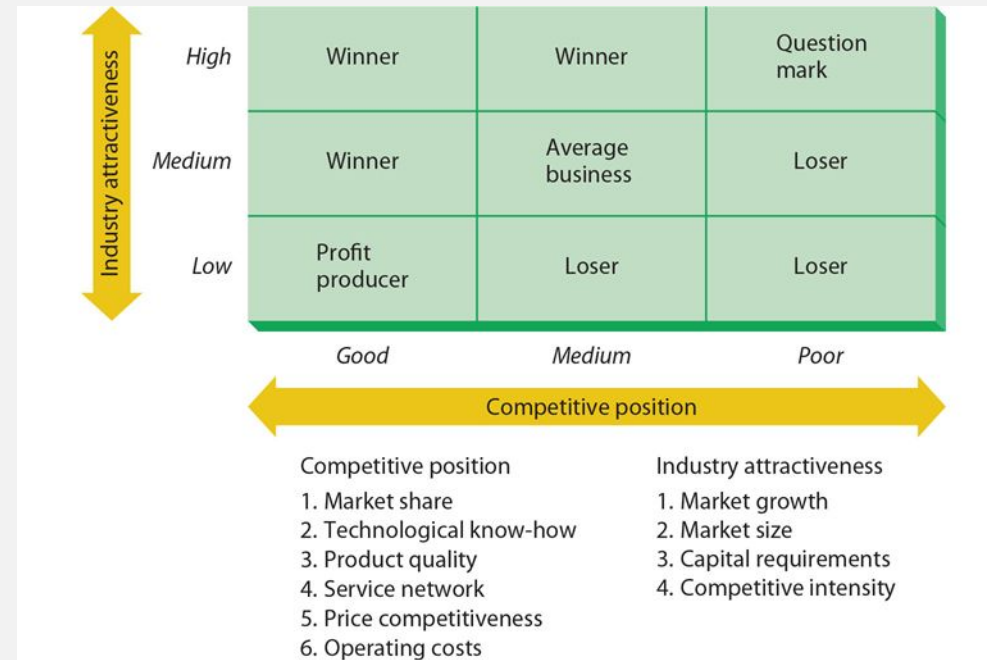


FIGURE 7.4

The GE Business Screen

The GE Business Screen is a more sophisticated approach to portfolio management than the BCG matrix. As shown here, several factors combine to determine a business's competitive position and the attractiveness of its industry. These two dimensions, in turn, can be used to classify businesses as winners, question marks, average businesses, losers, or profit producers. Such a classification enables managers to allocate the organization's resources more effectively across various business opportunities.

Source: Hofer, C. W., & Schendel, D. (1978). *Strategy formulation: Analytical concepts*. St. Paul: West Publishing Company.

Group Activity #2

- Divide into groups of four or five. Research and collect information about a large diversified firm, such as the Walt Disney Company, General Motors, or Procter & Gamble. Then classify the firm's various businesses into the four cells of the BCG matrix.



7-7a Developing International and Global Strategies (1 of 3)

- Managers of international firms face more complexity and uncertainty when formulating strategies.
- However, they may exploit three sources of competitive advantage:
 - Global efficiencies
 - Multimarket flexibility
 - Worldwide learning

7-7a Developing International and Global Strategies (2 of 3)

- **Global efficiencies** include:
 - Location efficiencies allow firms to locate wherever they can obtain cost advantage.
 - **Economies of scale** lower the per unit cost of production due to large quantities.
 - **Economies of scope** lower the cost per unit by sharing expenses across product lines.

7-7a Developing International and Global Strategies (3 of 3)

- **Multimarket flexibility:**
 - Gives firms the ability to respond to change in one region by making changes in other regions
- **Worldwide learning:**
 - Gives firms the advantage of adopting best practices from wherever they originate
- Firms are not usually able to exploit all three advantages simultaneously.

7-7b Strategic Alternatives for International Business

- **Home replication strategy:**
 - A company uses the core competency it developed at home as its main competitive weapon.
- **Multidomestic strategy:**
 - A company manages itself as a collection of subsidiaries, each with a domestic market.
- **Global strategy:**
 - A company views the world as a single marketplace, standardizing products to address the needs of customers worldwide.

Summary (1 of 2)

Now that the lesson has ended, you will have learned how to:

- Discuss the components of strategy, types of strategic alternatives, and the distinction between strategy formulation and strategy implementation.
- Describe how to use SWOT (strengths, weaknesses, opportunities, and threats) analysis in formulating strategy.
- Discuss various alternative approaches to business-level strategy formulation.
- Describe how business-level strategies are implemented.



Summary (2 of 2)

Now that the lesson has ended, you will have learned how to:

- Discuss various alternative approaches to corporate-level strategy formulation.
- Describe how corporate-level strategies are implemented.
- Discuss international and global strategies.

